Canada Revenue Agency / Agence du revenu du Canada

T106 SLIP

Protected B when completed

Slip 3 of 5

Refer to the information and instruction sheet before you complete this form.
Check the applicable boxes and complete the areas that apply.

Action: 2 Unmodified
Delete reason:

Part I - Reporting person/partnership information

Corporation	Business Number (BN)	Trust	Trust account number
X	598797991RC0001		
Partnership	**Partnership identification number**	**Individual**	**Social Insurance Number**

For what tax year/fiscal period are you filing this T106 Slip? From (Year Month Day) 2024/07/01 To (Year Month Day) 2025/06/13

Part II - Non-resident information

1. Name of the non-resident: Non-Resident corp. #3
2. Taxpayer Identification Number (TIN):
3. Address of the non-resident and country of residence (see Instructions for information on country codes): Avenue Manuel Espinosa Batista, Panama City, Panama — Country code: PAN
4. Type of non-resident under foreign law governing the non-resident: 1 Corporation ☐ 2 Partnership ☐ 3 Trust ☐ 4 Individual ☐ 5 Other ☒
5. Is the non-resident treated differently for tax purposes in its jurisdiction of residency than the classification in question 4? See instructions. Yes ☒ No ☐
6. Type of relationship: 1 ☐ Non-resident is a controlled foreign affiliate (CFA) of the reporting person/partnership; 2 ☐ Non-resident is a foreign affiliate of the reporting person/ partnership other than a CFA; 3 ☒ Non-resident controls the reporting person/ partnership; 4 ☐ Other
7. State the main business activities for the transactions reported in Part III by entering the appropriate North American Industry Classification System (NAICS) code(s). See instructions for NAICS codes. NAICS code(s): 1 114113 2 3 4
8. State the main countries for the transactions reported in Part III by entering the appropriate country code(s). See instructions. Country code(s): 1 PAN 2 3 4
9. Have you prepared or obtained contemporaneous documentation as described in subsection 247(4) of the Income Tax Act for the tax year/fiscal period with respect to the non-resident? Yes ☒ No ☐
10. Have any of the transfer pricing methods (TPM) changed since the previous reporting period with respect to the non-resident? Yes ☒ No ☐

Part III - Transactions between reporting person/partnership and non-resident

For the following transactions, enter the amount on a gross basis (rounded to the nearest Canadian dollar or functional currency unit, if applicable) in the appropriate box. If the transfer pricing method (TPM) is predicated on an advance pricing arrangement (APA) or similar arrangement between any non-resident and a foreign tax administration, use code 7. Otherwise enter the appropriate TPM codes from the list in the instructions.

	Sold to non-resident	TPM	Purchased from non-resident	TPM
Tangible Property				
Stock in trade/raw materials	$ 412,361	2	$ 851,312	4
Other (specify):	$		$	
	Revenue from non-resident	**TPM**	**Expenditure to non-resident**	**TPM**
Rents, Royalties and Intangible Property				
Rents	$		$	
Royalties (e.g., for the use of patents, trademarks, secret formulas, know-how)	$		$	
License or franchise fees	$		$	
Intangible property or rights (acquired or disposed of)	$		$	
Services				
Management, financial, administrative, marketing, training, etc.	$		$	
Engineering, technical, construction, etc.	$		$	
Research and development	$		$	
Commissions	$		$	
Financial			$	
Interest	$		$	
Dividends (e.g., common stock, preferred stock, deemed dividends)	$		$	
Sale of financial property (including factoring, securitizations and securities)	$		$	
Lease payments	$		$	
Securities Lending (fees and compensation payments)	$		$	
Insurance (and/or reinsurance)	$		$	
Other (excluding derivatives – see Part V) (specify):	$		$	

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Other		Revenue from non-resident	TPM	Expenditure to non-resident	TPM
Reimbursement of expenses		$		$	
Other (specify):		$		$	
Please enter the total of all entries made in each column of Part III		A = $ 412,361		B = $ 851,312	

Part IV - Indebtedness, investments and similar amounts

Enter the amount on a gross basis (rounded to the nearest Canadian dollar or functional currency unit, if applicable) in the appropriate box.

	Beginning balance	Increase	Decrease	Ending balance
Indebtedness owed by the reporting person/partnership	$	+ $ 89,186	- $	= $ 89,186
Indebtedness owed to the reporting person/partnership	$	+ $ 63,121	- $	= $ 63,121
Investment in the non-resident (adjusted cost base (ACB))	$	+ $ 101,004	- $	= $ 101,004
Investment in the reporting entity by the non-resident (paid-up capital (PUC))	$	+ $	- $	= $
Please enter the total of all entries made in each column of Part IV		C = $ 253,311	D = $	

Was a Pertinent Loan or Indebtedness (PLOI) election made (see instructions)? Yes [ ] No [X] If yes, please provide the amount of deemed interest related to the election. $

Part V - Derivatives

Enter the amount on a gross basis (rounded to the nearest Canadian dollar or functional currency unit, if applicable) in the appropriate box.

	Number of contracts	Notional amount	Revenue from non-resident	Expenditure to non-resident
101 Interest Rate Contracts		$	$	$
102 Foreign Exchange Contracts		$	$	$
103 Credit Contracts		$	$	$
104 Equity Contracts		$	$	$
105 Commodity Contracts	1300	$ 415,618	$ 86,777	$ 15,231
106 Index Contracts		$	$	$
107 Fees (including commissions)		$	$	$
108 Other payments / receipts (specify)		$	$	$
Please enter the total of all entries made in each column of Part V	E = 1300	F = $ 415,618	G = $ 86,777	H = $ 15,231
Please enter in box I the total of all entries made in boxes A, B, C, D, G and H		I = $ 1,618,992		

Part VI - Current accounts

Enter the amount on a gross basis (rounded to the nearest Canadian dollar or functional currency unit, if applicable) in the appropriate box.

	Beginning balance	Increase	Decrease	Ending balance
Accounts payable amount owed to the non-resident	$	+ $ 51,712	- $	= $ 51,712
Account receivable amount owed by the non-resident	$	+ $ 91,232	- $	= $ 91,232

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Instructions

If an election has been made under paragraph 261(3)(b) of the Income Tax Act (Act) to report in a functional currency, state all monetary amounts in that functional currency, otherwise state all monetary amounts in Canadian dollars. Round all monetary amounts to the nearest Canadian dollar or functional currency unit, if applicable. Only certain corporations can elect to report in a functional currency. See the CRA publication Income Tax Folio S5-F4-C1, Income Tax Reporting Currency at: canada.ca/cra-income-tax-reporting-currency.

Part II - Non-resident information

Q.1., Q.2. and Q.3. Enter the name, TIN and address of the non-resident. For the list of country codes, go to canada.ca/cra-country-codes.

Q.4. State how the non-resident is classified under the foreign law governing the non-resident in the non-resident's jurisdiction of residence. In the case of partnerships, the non-resident status of the partnership should be determined as if the partnership were accorded the same status as a resident of the foreign jurisdiction.

Q.5. If the non-resident classification for tax purposes in the foreign jurisdiction is different than the classification in Q.4., then state yes, otherwise, state no.

Q.6. State the type of relationship that exists between the reporting person/partnership and the non-resident. A foreign affiliate and a controlled foreign affiliate are defined under subsection 95(1) of the Act.

Q.7. State the main countries for the transactions reported in Part III by entering the appropriate NAICS codes. The current NAICS codes can be found at https://www23.statcan.gc.ca/imdb/p3VD.pl?Function=getVD&TVD=1369825. You can enter more than one code.

Q.8. State the main countries for the transactions reported in Part III by entering the appropriate country code. You can enter more than one code. For the list of country codes, see the information provided under Q1., Q2. and Q3. above.

Q.9. Enter yes or no to the question. In general, subsection 247(4) of the Act relates to the requirement to maintain and make available to the Minister contemporaneous transfer pricing documentation. You can find more information on contemporaneous documentation at canada.ca/cra-transfer-pricing by going to the "Documentation Requirements" section and clicking on the "contemporaneous documentation" link.

Part III - Transactions between reporting person/partnership and non-resident

Enter the amount (rounded to the nearest Canadian dollar or functional currency unit, if applicable) for the transactions in Part III. Only record in Part III those amounts that apply to the non-resident described in Part II. Report gross amounts in the two columns.

The "Sold to non-resident" and "Revenue from non-resident" refers to gross sales and revenue received from non-arm's length transactions with non-residents. For example, this includes transactions related to exports from Canada and services provided to the non-resident.

The "Purchased from non-resident" and "Expenditure to non-resident" refers to gross purchases and expenditures made relating to non-arm's length transactions with non-residents. For example, this includes transactions related to imports into Canada and services provided by the non-resident.

For the banking industries, the line for "Stock in trade/raw materials" must be used to report bonds, debentures, loans, mortgage transactions. The normal interest income and expense on loans and advances with the non-arm's length non-resident(s) must be reported in the Financial section.

Transfer Pricing Methods (TPM)

Use the codes listed below to reflect the main TPM.

1	Comparable Uncontrolled Price	5	Transactional Net Margin
2	Cost-Plus	6	Cost Contribution Arrangement
3	Resale	7	Advance Pricing Arrangement
4	Profit Split	8	Other

You can find more information on TPMs at: canada.ca/cra-transfer-pricing. For information on the CRA's APA program, see Information Circular 94-4R2, International Transfer Pricing: Advance Pricing Arrangements (APAs) at: canada.ca/en/revenue-agency/services/forms-publications/publications/ic94-4/international-transfer-pricing-advance-pricing.

Part IV - Indebtedness, investments and similar amounts

Subsection 15(2) of the Act can apply to a non-resident shareholder of a Canadian resident corporation, in which case, the debt is treated as a deemed dividend subject to non-resident withholding tax. Where a corporation resident in Canada (CRIC) is controlled by a non-resident corporation, subsection 212.3(2) of the Act contains similar rules (the foreign affiliate dumping rules) to deem certain amounts owing by a foreign affiliate of the CRIC to be a dividend paid to the non-resident shareholder.

The election to treat the debts as a PLOI, is a choice the non-resident shareholder and the CRIC can make to avoid the deemed dividend treatment and the withholding tax liability that would otherwise result. You can find more information on PLOI, at canada.ca/en/revenue-agency/services/tax/businesses/topics/corporations/corporation-payments/understanding-interest.

State whether a PLOI election was made and if so, provide the deemed interest amount included as taxable income for the tax year or fiscal period.

Part V - Derivatives

The column for "Notional Amount" applies to swap transactions. The terms used in this section are described below:

Descriptions

101 Interest Rate Contracts
This section includes
- forward rate arrangements
- swaps
- options purchased
- options written

102 Foreign Exchange Contracts
- forward contracts
- cross currency swaps
- cross currency interest rate swaps
- options purchased
- options written

103 Credit Contracts
- risk transfer arrangements

104 Equity Contracts
- includes contracts used to transfer the economic benefits of securities and debt instruments

105 Commodity Contracts
- includes swaps, forward contracts and options

106 Index Contracts
- includes all contracts that derive their value from publicly traded indices

107 Fees (including commissions)
- any fee or commission charged on derivative transactions

108 Other Payments / Receipts
- other payments and receipts not identified above

Do you need more information?

If you need more information, go to canada.ca/taxes or call 1-800-959-5525 for business enquiries, or 1-800-959-8281 for individual enquiries. For detailed information about completing the form, contact your tax services office (TSO). TSO contact information can be found at canada.ca/cra-tso-contact-information.

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